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The Consulting and Knowledge Cell of SSCBS

presents

Company Analysis

of

Flipkart

Brief Introduction about Flipkart

Flipkart is the leading player in the Indian e-commerce industry. It was started in October 2007 in Bengaluru by Sachin Bansal & Binny Bansal as an online bookstore. Today, the company has 80 million products listed across more than 80 categories from mobile phones & accessories, computers, laptops, books, home appliances, electronic goods, clothes and accessories, sports and fitness, baby care, games, and toys, jewelry, footwear, and many more on its platform with 100 million registered users and 100 thousand sellers.

In 2018, U.S. retail giant Walmart acquired a 77% controlling stake in Flipkart for US $16 billion, valuing Flipkart around $20 billion at that time. As of July 2021, Flipkart is valued at $37.6 billion after raising capital from SoftBank.

Flipkart has not just limited itself to D2C (Direct-to-Consumer) model but diversified into B2B model through Flipkart Wholesale, payment services through PhonePe, logistics & delivery services through Ekart, content production through Flipkart Video, hyperlocal delivery segment through Flipkart Quick thus making a complete ecosystem per se.

Flipkart Founders & Their Journey

Flipkart founders Sachin Bansal & Binny Bansal were 2005 graduates from IIT Delhi who were working together at Amazon from where they thought of an idea to set up an Indian e-commerce platform and started their venture online named Flipkart. Initially, it was kicked off as an online bookstore and later entered into other categories. Online payments were a major issue faced by Flipkart at that time as Indians resisted online payments and online payments were not that easy or trusted as now, so the founders introduced ‘cash on delivery’ service to tackle this issue which helped them build trust among buyers. They started the company from an apartment in Bangalore with ₹4 lakh of capital and generated revenue of ₹4 crores in 2009 just within a year and half. By 2012, Flipkart became a unicorn making it the 2nd billion-dollar startup in India.

Mission

Flipkart’s mission is to provide a delightful and memorable customer experience.

Vision

It’s core vision lies in innovating for the Indian customer and solving the yet unsolved problems for the country.

Core Values

- Integrity
- Inclusion
- Customer First
- Audacity
- Bias For Action

Flipkart

SWOT Analysis

Strengths

- High Brand recall
- Largest E-Commerce retailer and 70% share in Fashion E-Tail
- Strategic Acquisitions that includes Myntra, PhonePe, Jabong, etc.
- Higher GMV & Broad range of Products
- Strong Financial Support from Walmart & other investors

Weaknesses

- Excessive Advertisement Cost
- Power in buyers' hands due to lower switching cost
- Customer Retention is difficult & costly especially in urban India

Opportunities

- Increasing Internet Penetration
- Higher Growth in E-Commerce Industry especially in rural segment
- Business Expansion to other economies
- Leveraging Flipkart Video
- Vertical Expansion to make supply chain robust

Threats

- Government Regulations including FDI policies
- Resistance from offline traders & antitrust probe by Competition Commission of India
- Fierce Competition especially from Amazon and niche segment players like Grofers in grocery; Nykaa in cosmetics & fashion; Milkbasket & NinjaCart in hyperlocal delivery, etc.

Flipkart's Competitive Strengths

In simple words, strength is a characteristic that is able to enhance the value of a product, service, or commodity that makes it more appealing, special, unique, and advantageous when compared. Flipkart is the first most successful emerged eCommerce suite in India. At times, it was also the brand, many eCommerce sites would look up to as an example. It also holds the patent of introducing cash on delivery, which is endorsed by every eCommerce website in India today.

Competitive Strengths

Founder's Background

- A start-up is highly influenced by the quality of staff it has working on it.
- The founders of Flipkart, Sachin & Binny Bansal are Ex-Amazon employees.
- Having prior experience and knowledge about the working of the E-commerce industry, helped the company to work strategically and differentiate business in a highly competitive market.

India's Largest E-Commerce Retailer

- Flipkart is India's largest E-commerce company & had sold GMV (gross merchandising value) of $1 billion till now. As of late, its worth is 37 billion dollars having millions of people are registered users with the brand.

High Brand Recall.

- Flipkart has established itself as a renowned E-commerce company in India like TV ads featuring kids who portray the role of adults, increase brand awareness and also expand the customer base of online shoppers, presence on social media.
- Brand activities like the "Big Billion day" have really increased the brand recall of the company.

Competitive Strengths

Constant Support From Investors

- Flipkart is backed by global investors like Tiger Global, DST Global, and Naspers. This has enabled Flipkart to spent huge sums of money in order to give massive discounts during festivals.
- The acquisition by Walmart earned Flipkart renewed financial strength as well as expertise in online groceries alongside a strengthened food supply chain.

Exclusive Tie-ups With Established Brands

- Exclusive tie-ups with brands like Motorola Mobility, Xiaomi led to very successful product launches which have, in turn, provided them with a broad range of products.
- Helped the company to differentiate and localize its offerings.

Robust Line Of Acquisitions

- Flipkart has been able to bring to the table a very impressive list of acquisitions with brands like Myntra, LetsBuy, Chakpak, AdiQuity, weread.com, Mine360, etc. which has accompanied the expansion of eCommerce space and use the potential resources of acquired companies

Supply Chain

- A supply chain is a network between a company and its suppliers to produce and distribute a specific product to the final buyer. This network includes different activities, people, entities, information, and resources.
- The supply chain is the backbone of the e-commerce business. An effective supply chain is one that costs low and operates fast. Such effectiveness translates to customer satisfaction and patronage in any e-commerce company.

- **Order Management System**: registers the order, maintains the state of the order through its life cycle, keeps track of the order, and forwards details of the order to the Order Fulfilment System.

2. **Order Fulfilment System**: arranges for faster and cost-effective product delivery, verifies the availability of inventory in the warehouse, notifies the warehouse of the order, and identifies the logistics partner

3. **Warehouse**: Reserves the product on shelves, assigns a picker to pick, pack and dispatch as shipments to the sortation center.

4. **Sortation Center**: Sorts shipments based on pin codes and loads them into designated trucks for transportation to the Delivery Hub.

5. **Delivery Hub**: Caters to one pin code with separate areas in it. Delivery executives deliver the products from the Delivery Hub to the Customer’s address.

In the whole workflow, there’s an option to optimize various supply chain workflows to improve the efficiency of operations.

Industry Comparison

Factors	Flipkart	Amazon	IndiaMart	Industry Average	Flipkart Vs Industry Average
Monthly Visits	194.6 million	324.18 million	75 million	NA	
Search Traffic *	37.01%	37.07%	82.98%	NA	
Visit Duration	4 mins 40 sess	5 mins 11 secs	4 mins 03 secs	2 mins 57 secs	↑
Pages per visit/ session	6.11	7.33	3.96	5.65	↑
Bounce Rate	48.89 %	46.21%	36.89%	57.85%	↑

'* Search Traffic means when the user directly searches for the website, and does not land to the website indirectly

Sources of data: Similarweb, Kibo ECommerce Benchmarks Report, Wolfgang KPI Report

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